

## 25SMCV06277 25SMCV06277

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CASE NAME: Lawrence Gilson v. Exeter 207

McDowell LLC, et al.

CASE NO.: 25SMCV06277

MOTION: Motion to

Dismiss Forum non Conveniens

HEARING DATE: 7/1/2026

Legal

Standard

Forum Non Conveniens

"Forum non conveniens is an equitable doctrine invoking the discretionary power of a court to decline to exercise the jurisdiction it has over a transitory cause of action when it believes that the action may be more appropriately and justly tried elsewhere. [Citations]." (Stangvik v. Shiley, Inc. (1991) 54 Cal.3d 744, 751.) The doctrine has been codified in Code of Civil Procedure section 410.30. "The inquiry is whether 'in the interest of substantial justice an action should be heard in a forum outside this state.' " (Animal Film, LLC v. D.E.J. Productions, Inc. (2011) 193 Cal.App.4th 466, 471.)

Where plaintiff is a California

resident for purposes of forum non conveniens, there is a strong presumption in favor of plaintiff's choice of forum. (Stangvik, supra, 54 Cal.3d

at 754.) A nonresident plaintiff's choice of forum is entitled to "due deference" under all circumstances, but not a strong presumption of appropriateness. (*National Football League v. Fireman's Fund Ins. Co.* (2013) 216 Cal.App.4th 902, 929-930.)

In a contract dispute where the contract contains a forum selection clause "a threshold question in a forum non conveniens motion is whether a forum selection clause is mandatory or permissive." (*Animal Film, Inc.*, supra, 193 Cal.App.4th at 471.) Because California favors enforcement of mandatory forum selection clauses, they will be given effect absent a showing by the party resisting the motion that enforcement of such clauses would be unreasonable. (*Quanta Computer Inc. v. Japan Communications Inc.* (2018) 21 Cal.App.5th 438, 445.) "The factors that apply generally to a forum non conveniens motion do not control in a case involving a mandatory forum selection clause. Where there is a mandatory forum selection clause, 'the test is simply whether application of the clause is unfair or unreasonable, and the clause is usually given effect. Claims that the previously chosen forum is unfair or inconvenient are generally rejected. A court will usually honor a mandatory forum selection clause without extensive analysis of factors relating to convenience.'" (*Ibid.* [citations and internal quotation marks omitted].)

## ANALYSIS

### Specially appearing Defendants

Exeter 207 McDowell LLC, Herbert W. Tousley, IV, Thomas M. Nelson and Robert Stolpestad ("Exeter" or "Defendants") move for an order dismissing this action on grounds of forum non conveniens based upon a forum selection clause contained in an Intercreditor and Subordination Agreement ("IAC") with another lender, Bridgewater Bank, a Minnesota chartered state bank ("Bridgewater"). Defendants' motion asserts that the IAC contains a mandatory Minnesota forum selection clause governing disputes concerning the IAC and that Plaintiff's declaratory relief claim falls within its scope. Plaintiff opposes on the grounds that Defendants are not parties or third-party beneficiaries to the ICA, that they lack standing to invoke Section 26 of the ICA, and that traditional forum non conveniens factors favor California if the clause is not enforceable. In reply, Defendants contend that (1) the Note incorporates the ICA and makes it controlling in any conflict, (2) Defendants executed the ICA Acknowledgments agreeing to be bound, and (c) the action squarely seeks interpretations of the ICA.

According to the Complaint, Defendant

Exeter is a Delaware limited liability company based in Saint Paul, Minnesota.

(Complaint, ¶ 5.) Exeter sought to develop a commercial real estate project located in Phoenix, Arizona at 207 E. McDowell Road (the “Property”).

(Complaint, ¶¶ 11-13.) As part of this development, Exeter obtained loans from multiple parties including Plaintiff Lawrence Gilson, in his capacity as Trustee of the Gilson Living Trust, dated April 2, 1991. (Complaint, ¶ 1.) Exeter also obtained a loan from Bridgewater in the amount of \$3,282,500 that is secured by the Property. (Complaint, ¶ 14.) To memorialize the Note, Exeter, Herbert W. Tousley, IV, Thomas M. Nelson and Robert Stolpestad executed a Promissory Note, dated October 12, 2022, in favor of Plaintiff (the “Unsecured Note”) (Complaint, Exhibit A.) .

The Unsecured Note between Exeter

and Plaintiff does not have a forum selection clause, although it does state it will be governed and construed under the laws of California. (Complaint, Ex. A, Unsecured Note, ¶ 13.) The Unsecured Note, however, expressly provides it is subject to the terms of IAC, which are controlling. Paragraph 15(f) of the Unsecured Note provides:

Notwithstanding

anything herein to the contrary, this Note and the indebtedness evidenced hereby, all liens and security interests securing such indebtedness, and the exercise of any rights or remedies in respect of such indebtedness, any collateral and the payment, receipt and acceptance of certain payments on this Note are subject to the provisions of the Intercreditor and Subordination Agreement, dated as of October 12, 2022 (as amended, restated, supplemented or otherwise modified from time to time in accordance with the terms thereof, the “Subordination Agreement”), between Bridgewater Bank, a Minnesota state banking corporation, and Gilson Living Trust, Dtd 4/2/1991, a California Trust. In the event of any conflict between the terms of the Subordination Agreement and this Note, the terms of the Subordination Agreement shall govern and control. (emphasis added).

Plaintiff alleges the Unsecured

Note is in default. (Complaint, ¶ 2.) However, Plaintiff's sole cause of action is for declaratory relief where Plaintiff seeks relief necessarily involving the IAC and its interpretation. (Complaint, ¶¶ 24-28). For instance, Plaintiff affirmatively asserts that he seeks “a declaration interpreting the parties’

rights and obligations, particularly the effect of Section 18 of the ICA, so it may understand what actions, if any, are permitted under the Note and ICA” (Complaint, ¶ 39). Plaintiff further alleges “judicial clarification is needed to reconcile Section 18 with the ICA’s other clauses ‘to the extent and in the manner set forth herein.’” (Complaint, ¶ 45). Plaintiff further “seeks a declaration that the ICA does not expressly or by implication prevent Defendants from satisfying the Note in whole or in part.” (Complaint, ¶ 46.) Plaintiff’s three prayers for declaratory relief directly reference or arise from the IAC, including: 1) That “the Note is enforceable and not subject to any defenses or offsets even if the Bridgewater Loan remains unsatisfied;” 2) That “the ICA does not expressly or by implication prevent Defendants from satisfying the Note in whole or in part;” and 3) That “even if Exeter were prevented from satisfying the GLT Loan, the ICA does not expressly or by implication prevent the Individual Defendants from paying the Note in whole or in part.” (Complaint, Prayer at a(i-iii).)

Here, the ICA states it “shall be governed by, and construed in accordance with, the laws of the State of Minnesota,” and the Subordinate Lender “irrevocably consents to the exclusive jurisdiction of any state or federal court” in Minnesota. The ICA further provides the parties agree that the specified venue is the most convenient, and the Subordinate Lender waives objections to venue and more convenient forum. As stated, the Unsecured Note contains no forum selection clause, is governed by California law, and expressly states it and the indebtedness evidenced thereby are “subject to the provisions of the Intercreditor and Subordination Agreement,” and “[i]n the event of any conflict between the terms of the Subordination Agreement and this Note, the terms of the Subordination Agreement shall govern and control.” Defendants executed the ICA “Obligors’ Acknowledgment,” approving the ICA, agreeing and consenting to its terms, and agreeing “to be bound by such Agreement,” which necessarily includes Section 26’s forum provision .

As a result, the Court concludes that the ICA’s Minnesota forum selection clause is mandatory and encompasses claims requiring interpretation, construction, or application of the ICA. The Unsecured Note’s subordination to the ICA confirms the parties’ intent that disputes over the ICA’s effect on payments under the Unsecured Note be resolved in the designated Minnesota forum. Plaintiff and Defendants all signed the IAC, and with respect to the Unsecured Note between the parties, further agreed to be bound by the IAC. In the IAC, Defendants are specifically defined as “Obligors.” Defendants also signed

the IAC as an "Obligors' Acknowledgment." (Aikin Decl., Ex. 2, pp. 29-31.) The Obligors' Acknowledgment provides that as to the IAC each Obligor, and thus each Defendant, "hereby approve[s] of such Agreement, and agree[s] and consent[s] to the terms thereof." (Aikin Decl., Ex. 2., page 29.) The Obligor's Acknowledgement further provides that each Obligor, and thus each Defendant "agree[s] to be bound by such Agreement." (Id.) As such, they are parties to the IAC. The IAC states that it is governed by the laws of Minnesota and Plaintiff expressly consented to Minnesota Courts (State or Federal) having exclusive jurisdiction over the IAC. Defendants signed the IAC and consented to its terms, including the Minnesota forum selection clause. The Unsecured Note contains no forum selection clause and expressly states it is subject to the provisions of the IAC, and that those provisions are controlling. Thus, the motion to dismiss would be granted.

Furthermore, a forum selection clause may be enforced against a plaintiff who is not a party to the contract in question if the plaintiff is "closely related to the contractual relationship." (Net2Phone, supra, 109 Cal.App.4th at 589.) To determine whether a nonsignatory is closely related to the contractual relationship, the court must consider whether the evidence demonstrates one of the following factors: (1) the nonsignatory agreed to be bound by the terms of the agreement, (2) the contracting parties intended the nonsignatory to benefit from the agreement; or (3) there was a "defined and intertwining business relationship with a contracting party". (Bancomer, S. A. v. Superior Court (1996) 44 Cal.App.4th 1450, 1461.) "The key to the closely related test is whether the nonsignatories were close to the contractual relationship, not whether they were close to the third party signator. This makes sense because the forum selection clause is part of the underlying contract, and it is the contractual relationship gone awry that presumably spawns litigation and activates the clause. Giving standing to all closely related entities honors general principles of judicial economy by making all parties closely allied to the contractual relationship accountable in the same forum, thereby abating a proliferation of actions and inconsistent rulings." (Bugna v. Fike, (2000) 80 Cal.App.4th 229, 235.) The mere fact that a contract would be relevant evidence at trial, or would need to be construed to evaluate a plaintiff's claim, does not trigger application of a forum selection clause in that contract. (Berclain America Latina v. Baan Co., (1999) 74 Cal.App.4th 401, 408.) The intertwined business relationship between the contracting party and the nonsignatory must exist at the time that the agreement containing the forum selection clause was signed. (Id.)

Here, Defendants are “closely related” to the IAC. As stated, they agreed to the terms of the IAC, signed the Obligors’ Acknowledgment, and agreed to the terms in Paragraph 15(f) of the Unsecured Note. In addition, there is a defined and intertwining business relationship between the parties. As argued by Defendants, the Complaint identifies a broad set of agreements between Plaintiff, Bridgewater, and Defendants that are bound together by the ICA. The Complaint seeks to determine rights as among multiple agreements, including the Note and the ICA. Furthermore, there is no evidence that enforcing the forum selection clause would be unreasonable.

For these reasons, the motion is GRANTED and the matter is DISMISSED.